WELLS FARGO
INVESTMENT INSTITUTE

Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

The Day the Currency Market Stood Still

October 18, 2017

Scott Wren
Senior Global Equity Strategist

Last Week's S&P 500 Index:
+0.2%

Key Takeaways

- *It was 30 years ago this week that the Dow Jones Industrial Average fell nearly 25 percent in a single trading day that came to be known as Black Monday.*
- *On that day, the dollar, typically volatile and immediately responsive to what is happening in global financial markets, stood still as currency trading desks watched the mayhem on Wall Street.*

I'm trying to get my hands around the fact that 30 years ago this strategist was in his mid-20s and making a living playing in the rough-and-tumble arena of the global currency markets. As a speculator and market maker, at that time trading the Italian lira versus the U.S. dollar as well as the German Deutsche mark (that's right millennials, the euro did not always exist), the job involved getting into the office early each day with the goal of trying to consistently scratch profits out of a less-than-forgiving market. Currencies could beat you up on a daily basis, even when you made money.

Some mornings on the desk were tough because half of the previous night one might be awake taking numerous overnight phone calls from traders at Australian banks watching our stop-loss or take-profit orders while we were sleeping (or trying to). We did the same for our Aussie friends while they were asleep. These friendships often were affected, at least for brief periods, by the quality of "fills" we may have received or given on, usually, stop-loss orders. Big gaps between prices occurred regularly at different points during the global trading day, especially if unexpected news hit the wires.

These days, my old comrades in the currency wars have virtually all moved on to calmer endeavors. But we often have a good laugh over how the financial media make a big deal out of a one-cent (or much less) move in the euro/dollar exchange rate or a half-yen move in the dollar/yen rate in the course of a trading day. But in the "old" days, it was common to see the Japanese currency trade in a two- or three-yen range over a five- or eight-hour period. And maybe even back and forth in that range a time or two. But, of course, plenty of volatility meant lots of opportunities to make (or lose) money virtually 24/7. Currency trading is a young man's game.

When I walked into the office on the morning of Monday, October 19, 1987, I didn't have a clue as to the magnitude of what was about to unfold in the stock market. Sure, the prior week saw meaningful equity losses, but erratic trading had been occurring since late August. But the yield on the 10-year Treasury note had spiked to over 10 percent from just under 7.25 percent at the beginning of the year. And the S&P 500 had soared more than 36 percent over that same time frame. The rubber band was stretched very tight. In hindsight, something had to give.

The 10-inch monochrome green monitors flickered with changing currency rates and the news headlines scrolled as the stock market turned down. Once the Dow Industrials dropped more than 200 points, we knew something was up. So did the rest of the currency trading world. We didn't have financial television news networks broadcasting live from the trading floor. Timely information was sparse. The currency market was frozen. It didn't move. We sat there and asked ourselves if what we saw on the screens was really happening. The dollar dropped like a rock over the following weeks, but on Black Monday, as stocks melted down, the currency market uncharacteristically stood still.

Investment and Insurance Products: ▶ NOT FDIC Insured ▶ NO Bank Guarantee ▶ MAY Lose Value

© 2017 Wells Fargo Investment Institute. All rights reserved.

Risks Considerations

Investments in currencies involve certain risks, including credit risk, interest rate fluctuations, fluctuations in currency exchange rates, derivative investment risk and the effect of political and economic conditions. The use of currency transactions to seek to achieve gains in the portfolio could result in significant losses to the portfolio which exceeds the amount invested in the currency instruments. In addition, exchange rate risk between the U.S. dollar and foreign currencies may cause the value of the fund's investments to decline.

General Disclosures

Global Investment Strategy (GIS) is a division of Wells Fargo Investment Institute, Inc. (WFII). WFII is a registered investment adviser and wholly owned subsidiary of Wells Fargo Bank, N.A., a bank affiliate of Wells Fargo & Company.

The information in this report was prepared by Global Investment Strategy. Opinions represent GIS' opinion as of the date of this report and are for general information purposes only and are not intended to predict or guarantee the future performance of any individual security, market sector or the markets generally. GIS does not undertake to advise you of any change in its opinions or the information contained in this report. Wells Fargo & Company affiliates may issue reports or have opinions that are inconsistent with, and reach different conclusions from, this report.

The information contained herein constitutes general information and is not directed to, designed for, or individually tailored to, any particular investor or potential investor. This report is not intended to be a client-specific suitability analysis or recommendation, an offer to participate in any investment, or a recommendation to buy, hold or sell securities. Do not use this report as the sole basis for investment decisions. Do not select an asset class or investment product based on performance alone. Consider all relevant information, including your existing portfolio, investment objectives, risk tolerance, liquidity needs and investment time horizon.

Wells Fargo Advisors is registered with the U.S. Securities and Exchange Commission and the Financial Industry Regulatory Authority, but is not licensed or registered with any financial services regulatory authority outside of the U.S. Non-U.S. residents who maintain U.S.-based financial services account(s) with Wells Fargo Advisors may not be afforded certain protections conferred by legislation and regulations in their country of residence in respect of any investments, investment transactions or communications made with Wells Fargo Advisors.

Wells Fargo Advisors is a trade name used by Wells Fargo Clearing Services, LLC and Wells Fargo Advisors Financial Network, LLC, Members SIPC, separate registered broker-dealers and non-bank affiliates of Wells Fargo & Company. CAR 1017-03103

© 2017 Wells Fargo Investment Institute. All rights reserved.